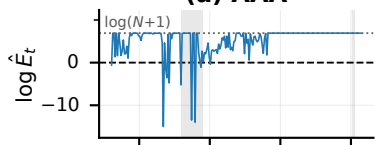
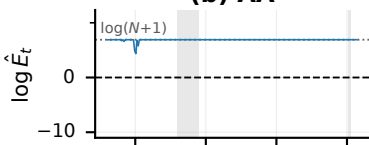


$X = \text{yield}$, $Y = \text{spread (lagged)}$, both mean-corrected, $N = 1000$

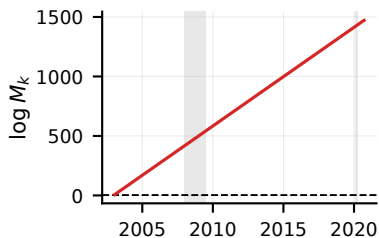
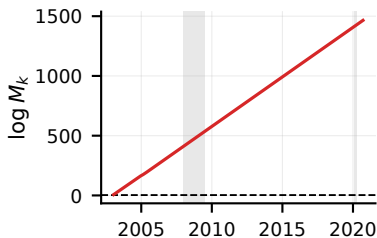
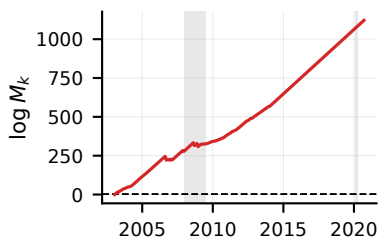
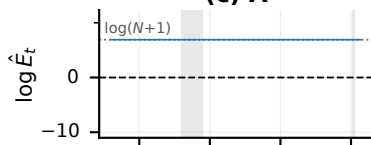
(a) AAA



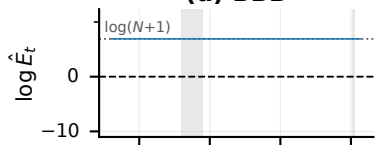
(b) AA



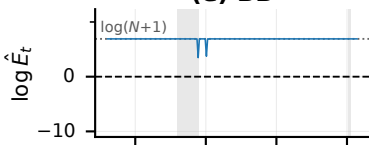
(c) A



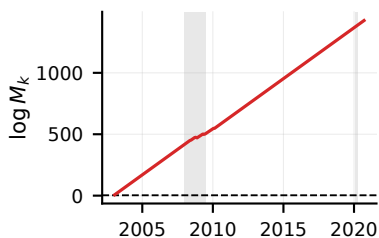
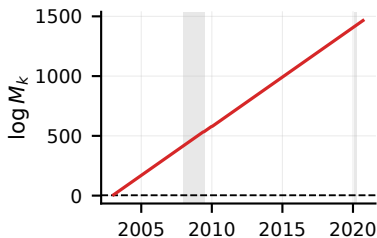
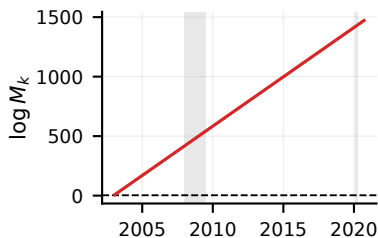
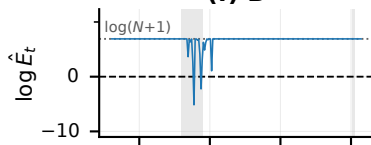
(d) BBB



(e) BB



(f) B



■ NBER recessions (2007-12--2009-06, 2020-02--2020-04)

--- no evidence ($\log \hat{E}_t = 0$) / threshold $1/\alpha = 20$

..... per-month ceiling $\log(N+1)$